

A FRAMEWORK NOTE

Pricing Geopolitical Risk

What markets know about war, what they structurally cannot — and how to position

The index is calm almost everywhere, and almost nowhere is the index the right instrument. This note makes the case from a century of market history (Part I), maps where the risk actually lives today (Parts II–III), and turns it into trade structure (Part IV).

Framework and risk disciplines only · not investment advice · 2026 figures move

The Argument, the Board & the Two Poles

What markets know about war, what they structurally cannot — and how to position

A reader's edition, in two parts. Part I is the argument, as narrative. Part II maps the board as it stands in the late summer of 2026 and turns the argument into positioning. It is the applied companion to a book about money and the nine years Europe spent not going to war before 1914; it stands alone. Framework, not advice — the discipline is the product.

PART I — The Argument

Here is the single most useful thing the historical record has to say to a trading desk, and it is counterintuitive enough that people rediscover it, expensively, every few years.

On the morning of 17 January 1991, the United States began bombing Iraq. Oil, which had nearly doubled since Saddam invaded Kuwait the previous August, fell thirty per cent — its largest one-day decline on record. The S&P rose about four per cent. The Bank of England, in its quarterly bulletin, wrote the explanation down in plain language: equities and bonds rose sharply "as news of early successes for the allies encouraged participants back into the market... the largest-ever one day decline in oil prices helped the rallies."

The war did not end that day. It had just started. What ended was the *uncertainty* — the fat tail the market had been carrying since August, in which Saddam torched the Gulf's oil fields and closed the Strait of Hormuz. Allied air supremacy from the first night took that tail off the table, and the premium built to price it evaporated in a session. Buy the invasion, sell the phony war.

That is not a quirk of 1991. It is the mechanism, and once you see it you see it everywhere.

Two different skills, routinely confused

A market does two very different things when a war looms, and it is good at exactly one of them.

The first is **anticipation**: pricing the probability that a war happens at all. This is forecasting a political decision that, in most cases, the decision-makers themselves have not yet made — and markets are bad at it. They cry wolf, because most scares fizzle. They price the wrong sign: in September 1939 the US market *rose* twenty-one per cent on the outbreak of the Second World War, because for a neutral arms supplier the war looked like a boom — and it did not crash until the fall of France, eight months later, turned a distant profit into a systemic threat. They get blindsided by surprises: Pearl Harbor drew a first-day drop of under four per cent, partly because a genuine surprise offers nothing to anticipate, partly because war risk was already half in the price. And in the summer of 1914, the canonical case, the money market said nothing at all until the Austrian ultimatum on 23 July — because the decision had been taken privately on the 5th and kept invisible until then. The market's first chance to price the crisis was the ultimatum, and the ultimatum was not a step toward the war. It was the war becoming visible.

The second skill is **resolution**: pricing the *consequences* of a decision once it has been taken. Here the market is fast, large, and correct — the oil premium collapsing the night Desert Storm began, the relief rally on the Munich accord, the market that recovered its whole loss the week of Inchon in 1950. This is the market's real talent: not prophecy, but arithmetic on a decision already made.

The practical upshot is a discipline: **do not trade the forecast; trade the resolution**. A calm market is not a forecast of peace. It is the market declining to handicap a decision no one has made — the precise error a generation of observers made in July 1914, and the precise error being made about Taiwan today.

The ladder: what kind of war is it?

Before you ask *how much*, ask *what kind* — because the market sorts wars not by size or bloodshed but by one criterion: could this go *general*? Could it become the systemic war that pulls in the great powers, at which point choosing a side stops mattering? That question produces a ladder with four rungs.

Localised wars, the market ignores. The Second Balkan War of 1913 — a real war — moved the great markets not at all. The Falklands barely dented sterling; the damage sat on Argentina. North Korean missile tests spike and fade. India and Pakistan can fight while global markets shrug. If a war is localised in its *impact*, the great markets discount it — and here their calm is roughly informative, because it genuinely stays contained.

General but judged unlikely, the market discounts. The Berlin Airlift of 1948–49 was a prolonged US–USSR standoff, and the American market *rose twenty-one per cent through the war scare* and shrugged at the blockade. It gave no relief rally when the blockade lifted — because the war had never been in the price. (That missing rally is a clean diagnostic: resolution rallies only where the war was actually priced.)

General and survivable, the market prices — dynamically. Korea in 1950 is the cleanest case. It broke thirteen per cent on the June invasion, feared that summer as the opening of a third world war; recovered the entire loss once Inchon made the war look contained; broke six per cent again when China's intervention revived the general-war fear; and made new highs once it settled into a limited war. The *same war* repriced up and down as its probability of going general rose and fell. This is where oil wars live too, and it is the rung where the resolution trade works.

Existential, the market cannot price at all. In October 1962, through the most dangerous fortnight in human history, the S&P fell a few per cent — and its low came *before* the most dangerous days. It rose on the morning the blockade of Cuba was enforced. The reason is not that the market judged the risk small. It is that there is no version of the world in which the bearish position pays off: a claim on a future that, in the catastrophic branch, does not exist. **You cannot price a catastrophe you will not survive to collect on.** The discrimination test has a ceiling, and existential risk sits above it, unpriced not because it is improbable but because the instrument cannot represent it.

Keep that ceiling in mind. It is the most important thing on the board for anyone thinking about Taiwan.

Read the exposed instrument, not the index

The second discipline: the signal does not live in the index. It lives in whichever instrument is directly exposed, and that instrument is different in every war.

In the Gulf and over Iran it is **oil**. In 2022 it was **energy** — the S&P actually closed *up* on the day Russia invaded Ukraine, and the VIX peaked at a mere 36, because for Western equity the war was an energy shock, not a systemic

threat; the war went into Brent (up thirty-four per cent) and into the ruble, not the S&P. In 1905 it was a **sovereign bond** — French savers watched their Russian holdings halve while the French government's own paper sat still, a portfolio crisis invisible to any index. At Suez in 1956 it was **reserves** — under a fixed exchange rate the pressure showed not in a price but in Britain's draining gold and the denial of IMF access, which is what forced the withdrawal. A generalist watching the S&P through any of these would have seen almost nothing until it was over. The person watching the exposed instrument saw the whole thing. The corollary for the next war: **identify the instrument before the crisis, not during it.**

Iran: the tail you can actually trade

Iran is the clean, live example, because the exposed instrument — oil — is liquid, and the tail — the Strait of Hormuz — is survivable and collectable, so the market *can* price it.

Watch it across two episodes. In June 2025, Israel and then the United States struck Iran; oil spiked about ten per cent on the fear Hormuz would close. Then Iran's response was telegraphed and symbolic, the strait stayed open, and oil fell *below* where it had started, while equities made new highs — the tail priced, then removed, then unwound, in days. Then in the spring of 2026 the tail actually *materialised*: Hormuz was shut, roughly eight million barrels a day came off the market, and oil ran from the high fifties to a hundred and fourteen dollars and *held above a hundred for two months*. Same instrument, two completely different behaviours — because the first was a scare and the second a real closure, and the size and, crucially, the *duration* of the move discriminated between them.

That is the tradeable structure: the Hormuz premium is real only while the strait is actually shut; it collapses the moment the closure is removed; and the market is poor at forecasting whether the closure comes but fast at pricing it once it does. A calm oil price is not a forecast that nothing happens — it is the market declining to handicap Tehran's undecided choice.

And there is now a new instrument pointed at exactly the channel markets are worst at. Prediction markets price the *decision itself*: as of this writing the crowd puts US forces entering Iran near ninety per cent and normal Hormuz traffic by September under half, with tens of millions staked. For the first time you can *decompose the war premium* — probability off the prediction market, size off the oil curve — and in the spring of 2026 the reopening odds moved first and the oil price followed. Treat that instrument with the suspicion you would any thin, manipulable market: it can cry wolf, and the resolution still dominates. But it is genuine new information in the one place the market has always been blind.

Taiwan: the tail you cannot

Taiwan is important precisely because the intuitions everyone carries about it are wrong.

A war over Taiwan is a candidate *general* war — US against China, possibly nuclear — which puts it near the Cuba end of the ladder, not the Gulf. So two things follow: the market will be poor at pricing it in advance, because it is a decision Beijing has not made; and to the degree it approaches the existential, it drifts toward *un-priceable*. Both mean the same warning: **calm markets are not evidence a Taiwan war is unlikely**. They are the July-1914 signature.

The data fits exactly. When Nancy Pelosi visited Taiwan in August 2022 and China answered with its largest-ever blockade drills — missiles over the island, a rehearsal of quarantine — the markets barely moved. Semiconductors, the exposed instrument, took the biggest hit at minus three and a half per cent; the S&P fell under one per cent;

everything was *higher* within a fortnight. The market discounted that episode as a drill, and was right that time. But a three-and-a-half-per-cent semis wobble that reverses in two weeks tells you the market judged *that episode* would stay below the general threshold. It tells you nothing about a priced invasion. If Beijing decided, the repricing would come at the resolution, be violent, and land in chips and Chinese assets first — not in the ambient calm beforehand.

Note the instrument. For Taiwan it is **semiconductors** — the island fabricates the overwhelming majority of the world's advanced chips, so a Taiwan war is a *silicon* shock the way a Gulf war is an *oil* shock. Watch the semiconductor complex, the Taiwan dollar, the yuan; the S&P is the last place the signal shows. And treat the direct-war tail the way you treat any existential risk: it is not a spot premium you can harvest, it is a convexity question, because the market structurally cannot put it in the price. The absence of a Taiwan premium is not the absence of the danger. It is the instrument hitting its ceiling.

Finance as a weapon — and why the weapon is decaying

There is one more move on the modern board the pre-1914 world only hinted at: finance deployed not as a barometer but as an outright weapon. The lineage is three freezes. In 1941 the United States froze Japanese assets and embargoed oil, and cornered Japan toward war. In 1956 it denied Britain the sterling and IMF support it needed, and forced a great power to abort a war it was winning. In 2022 the G7 froze roughly three hundred billion dollars of Russian central-bank reserves — and it punished without halting. One weapon, three outcomes: provoked, coerced, punished. The effect is documented in every case; the *decisiveness* varies and must never be assumed.

The important dynamic is what 2022 set off, because its most important audience was Beijing. China holds a vast dollar reserve and, until recently, an enormous Treasury position — and it watched a peer's reserves immobilised overnight. It has been hardening ever since: the People's Bank has been buying gold for twenty consecutive months, to some 2,346 tonnes, and kept buying straight through a sixteen-per-cent price slide — the signature of structural rebalancing, not a trade. Gold is still under ten per cent of its reserves against roughly seventy for Western central banks, so there is a great deal of room left. Its Treasury holdings have fallen to around six hundred and ninety billion dollars, the lowest since 2008 and half the 2013 peak, and it is building payment rails that route around the Western messaging system.

The logic is precise: **a Treasury bond is a hostage; a bar of gold in your own vault is not.** Gold is the anti-freeze asset — a claim on no one, held at home, settled without permission. So the gold pile and the Treasury run-off are one move — sell the hostage, buy what cannot be seized — and the implication is directional and dated: **the coercive value of the US financial weapon over China is a wasting asset.** Germany, squeezed at Agadir in 1911, spent the next three years drawing gold into the vault and reforming bank liquidity — a reform completed the very month the war began, by which point the squeeze could not have been repeated. China is doing the same reform *ahead* of its crisis.

Two disciplines keep this from being a story you lose money on. Do not overclaim the hostage is freed: six hundred and ninety billion is still an enormous exposure, gold cannot pay for imports at wartime scale, and the rails still lean partly on Western messaging. China has *reduced* the weapon's bite, not neutralised it. And — the deepest point — **the gold documents capability, not a decision.** Prudential reserve-building and preparation for aggression are identical on a balance sheet. Reading the gold as proof of war plans is the field's deepest error: reading exposure as intent, capability as decision.

PART II — The Board Today, and How to Position

The thesis in three sentences

Markets are poor at forecasting *whether* a war happens and excellent at pricing its *consequences* once the decision is taken; the gap is where the mistakes and the trades live. They price the probability of a *general* war — not war as such — so they ignore localized wars, price survivable ones (and mean-revert when the tail is resolved), and fall silent before the existential ones they cannot represent. And finance is now itself a weapon whose coercive value **decays as targets harden** — the most important slow fact on the board, and it is being made in Beijing.

The board

THEATER	RUNG	EXPOSED INSTRUMENT	STATE (MID-2026)
Iran / Hormuz	general, <i>survivable</i> → priceable	Oil	Live, unresolved. Hormuz shut in spring 2026 (oil +52%, held >\$100 two months); fragile, violated ceasefire; oil oscillating ~\$75–82. The tradeable tail.
China / Taiwan	candidate <i>general/existential</i>	Semiconductors, CNH/TWD	Calm — and calm here is <i>not</i> informative. Pelosi-2022 drills moved semis only –3.7%, reversed in a fortnight. The un-priceable tail.
The sanctions weapon	—	Reserves, gold, payment rails	The 2022 freeze set off structural de-risking; its value is decaying. The biggest slow fact.
Russia / NATO	escalation tail → un-priceable	European energy ; the freeze	Weapon deployed; direct-war tail near the ceiling — silence ≠ safety.
Norway (the anti-China)	—	Gas, energy equities (<i>not</i> NOK)	Europe's gas lifeline; the ~\$2.2tn fund is the <i>pro-Western-system</i> mirror of China's exit.
NK, India–Pakistan	localized	regional FX/equity	Great markets ignore; here calm <i>is</i> roughly informative.
Climate / AI tails	above the ceiling	—	Un-priceable; market silence is not reassurance.

China and Norway — the two poles of sovereign money

The sharpest pairing on the board. Two resource-funded state pools of extraordinary scale, de-risking in **opposite directions** — the same "sovereign money as a geopolitical actor" phenomenon pointed both ways at once.

China exits the Western system: opaque, sanction-*proofing*, ~2,346 tonnes of gold and its own payment rails, Treasuries down to ~\$690bn. Building a fortress against the weapon. The forward read: US financial leverage over China erodes every year it de-risks — but the gold documents *capability, not a decision*, and the exposure is still enormous, so the weapon is *reduced*, not neutralised.

Norway anchors that same system. Its sovereign fund — **~\$2.2 trillion, the world's largest, owning about 1.5 per cent of every listed company on earth** — is transparent, rules-based, and sanction-enforcing (it divested Russia in 2022), and, under a fiscal rule that reinvests all petroleum revenue and spends only the expected real return, a structural, price-insensitive *buyer* of global equities. It is not a fortress; it is a load-bearing wall of the side that wields the weapon, and the stabilizing counterweight to the gold/de-dollarization bid.

The krone trap, because it is a live way to lose money. People do trade NOK as a petrocurrency — it sits in the commodity-FX bucket with the Canadian and Australian dollars and had a positive oil beta historically. But that beta broke down: weakening after the 2015 oil crash and *spectacularly* in 2022–23, when Norway became Europe's largest gas supplier with record energy terms-of-trade and the krone nonetheless fell to multi-decade lows (USD/NOK roughly 8.3 in 2021 to 10–11 in 2023–25). The naive "oil-currency, long the energy shock" trade failed — because NOK is the least-liquid G10 currency and trades as a *risk-sentiment proxy* first (sold in any risk-off regardless of energy), with rate differentials, a transition-risk premium on fading future petroleum revenue, and the sovereign fund's own FX flows all pulling the other way. The lesson stands, sharpened: **NOK is a risk proxy first and an energy proxy a distant second** — the exposed instrument (gas) went the right way while the obvious currency proxy was driven by something else. *Read the instrument, not the naive proxy.*

And this is not a modern curiosity — it is the same lesson the pre-war material turns on, in two forms. In 1905, France's money market read *calm* not because France was safe but because its risk sat in a different instrument entirely — Russian bonds in French portfolios; the obvious instrument showed a null that wasn't one. At Agadir in 1911, Berlin's discount rate barely registered the squeeze because a mechanical factor, the quarter-end settlement, swamped it — the crisis was in the quantities, not the price; the obvious instrument was loud with the wrong signal. NOK is a live instance of both: silent on energy because the strength sits elsewhere, and swamped by liquidity and rates besides. The obvious instrument can mislead by nullity or by contamination — which is why you read the one that actually carries the exposure.

The one line to keep

The risks that would end the game are the ones the market cannot price at all — so on those, its silence is not a signal. Everywhere else: don't trade the forecast, trade the resolution, in the instrument that is actually exposed, and remember the financial weapon is a wasting asset. Somebody still has to be in the room to ask the money question. The market cannot ask it for you.

Sources are reproducible or cited: daily equity data from the S&P 500 (back to the 1920s) and oil from the WTI and Brent series, via public feeds; the 2003 war-risk factor from Sack and Rigobon's The Effects of War Risk on U.S. Financial Markets (2005); the 1991 attribution from the Bank of England Quarterly Bulletin; reserve, gold, fund, and holdings figures from official sources (US Treasury TIC, the People's Bank of China, Norges Bank). The 2026 figures are contemporary and move; check the dates before relying on them.

The Instrument Problem — at a Glance

One idea: the index is calm almost everywhere, and almost nowhere is the index the right instrument.

A framework and its risk disciplines, not a recommendation sheet. It tells you where the risk lives and what shape the trade takes — never when. Most of these are convex, negative-carry, timing-hard, and several are crowded.

The idea in a paragraph

When a risk builds, the signal shows up in whichever instrument is directly *exposed* — not in the broad index, and often not in the "obvious" proxy. Read the wrong instrument and it misleads you in one of three ways: it shows a **null that isn't** (the exposure sits elsewhere), it's **contaminated** (a mechanical or structural factor dominates the price you're watching), or it's **un-priceable** (no instrument can carry it, so silence is not information). This isn't a new observation — it's the oldest lesson in market history. France's money market read calm in 1905 while the risk sat in Russian bonds in French portfolios (*the null that isn't*); Berlin's discount rate barely moved in the 1911 Agadir squeeze because the quarter-end swamped it, and the crisis lived in the *quantities* (*contaminated*). The edge today is the same: **the crowd watches the calm index; you find the instrument that actually carries the exposure.**

Three failure modes → three trade shapes

FAILURE MODE	WHAT IT LOOKS LIKE	TRADE SHAPE
Null that isn't	Obvious instrument silent; risk sits elsewhere	Buy cheap convexity in the <i>exposed</i> instrument, where the tail is under-priced
Contaminated	A mechanical/structural factor dominates the naive proxy	Express in the instrument that <i>tracks</i> ; trade the <i>divergence</i> proxy-vs-real
Un-priceable	No instrument can carry it	Insurance or avoidance — never premium harvest

And one timing rule across all three: **trade the resolution, not the forecast** — don't bleed theta betting on *whether*; structure to get paid on the *repricing at the decision*.

The live map (mid-2026)

SITUATION	OBVIOUS INSTRUMENT (MISLEADS)	WHERE THE RISK ACTUALLY LIVES	TRADE SHAPE	WHAT KILLS IT
China / Taiwan	S&P / China index — <i>calm; null</i>	Semis (SOX/TSM), CNH, TWD; an un-priceable tail	Convex insurance: OTM put spreads on SOX/TSM/EWT, USDCNH topside calls, long TWD vol	Bleeds for years; in a <i>real</i> war the hedge may not settle — also a supply-chain / avoidance problem
Dollar-weaponization / de-dollarization	DXY — "dollar still king"; <i>null</i>	Gold, China's TIC Treasury line, CIPS, RMB settlement share	Long gold as an <i>allocation</i> to the central-bank bid; miners for beta	Crowded and extended; a real-rate spike or dollar squeeze
Norway / NOK	The krone as an energy proxy; <i>contaminated</i>	Gas (TTF), terms of trade, energy equities	Energy view via Equinor / energy equities / TTF — not the currency; NOK is a risk/rates trade	Conflating the two — trading NOK expecting an energy beta
Russia / Ukraine	Western indices (calm) and the ruble (managed); <i>null + contaminated</i>	European gas (TTF), wheat, the Urals–Brent discount, European industrials	Long TTF / wheat escalation optionality; the Urals discount via flows/tanker rates	TTF and wheat mean-revert hard; negative carry; don't trade the ruble
Iran / Hormuz	The index; <i>null</i> (the tradeable tail)	Oil (Brent/WTI), VLCC tanker rates, Hormuz prediction-market odds	Brent call spreads as insurance when the strait is open and vol is cheap; sell scare-richness; RV: crowd-odds vs oil-implied	Theta bleed through calm; a <i>real</i> closure if you're short
US fiscal	S&P at highs; <i>null</i>	Long-end / term premium, MOVE, gold, auction demand	5s30s steepeners; long bond vol / payer swaptions; gold as the no-anchor hedge	Long end rallies in risk-off; slow; negative carry — has gored many
AI / concentration	Index level (new highs); <i>contaminated</i>	Breadth; the semis complex; datacenter/power + the private credit funding it	Breadth (equal-weight RSP vs SPY); dispersion (long single-name vol / short index vol)	Bleeds in a momentum melt-up; shorting concentration is a graveyard
Private credit / CRE	S&P / bank-equity indices; <i>null</i>	Private-credit marks, CRE, regional-bank deposits / HTM losses	KRE puts, CMBX, BDC credit	The catalyst is a <i>forced mark</i> — patient, negative carry until one arrives
Japan / JGBs	The yen; <i>contaminated</i>	The JGB long end; the carry-unwind spillover	Short JGBs / long payer optionality; long yen vol for the global spillover	The widowmaker — the BOJ can pin it; carry

Cross-cutting tell: **gold rising with real rates** is the single best signal that the market's attention has moved to a non-obvious instrument (the central-bank sanction-proofing bid, orthogonal to yields). When the textbook correlation breaks, the signal has migrated.

The disciplines that save money

1. **Trade the resolution, not the forecast.** Structure to get paid at the decision, not to bleed on *whether*.

2. **Buy the *exposed-instrument* vol, not the index vol.** Oil vol for Iran, semis skew for Taiwan — usually cheaper and cleaner than SPX.
3. **Un-priceable tails are insurance, not carry.** Size tiny, expect bleed, and know the hedge may not pay in the real tail.
4. **Beware the crowded, negative-carry consensus.** Long gold, short JGBs, short-duration-fiscal, short-concentration are all "everyone knows." The edge is strongest where the crowd is still watching the *wrong, calm* instrument — not where the right trade is already consensus and expensively carried.
5. **Prefer the relative-value version.** Where a naive proxy *and* a real instrument both exist, the *divergence* is often the cleanest trade: crowd-odds vs oil-implied, gold vs real rates, RSP vs SPY, the Urals discount.
6. **Size for convexity and patience.** Small, defined-risk, and *roll* — not levered directional bets on timing.

The honest caveat

Knowing *where* the risk lives is necessary, not sufficient: most of these are right on **instrument** and hard on **timing**, and several are crowded. The framework's real gift is **negative** — it stops you expressing the view in the wrong instrument (long NOK for gas, short SPX for Taiwan, trading the ruble for Russian stress), which is where most people quietly lose. Everywhere else, the one line:

The index is calm almost everywhere. In almost none of these is the index the right instrument. Find the one that carries the exposure — and treat every calm headline print as the July-1914 tape until you have.

Companion to a longer piece, Pricing Geopolitical Risk, and to a book on money and the pre-1914 crises where this "instrument problem" is the recurring finding — from the fonds russes in 1905 to the krone in 2026. Framework and risk disciplines only; not investment advice; the 2026 figures move.

Trade Expressions

Concrete structures for each situation on the live map: the thesis, the primary expression, a relative-value or alternative, the carry/sizing note, and what kills it. These are illustrative of how the framework maps to expressions — not investment advice, not a solicitation. Almost all are right on instrument and hard on timing; several are crowded and negative-carry. Size as risk discipline dictates.

How to structure anything on this list (the meta-rules)

- **Buy the *exposed-instrument* vol, not the index vol** — oil vol for Iran, semis skew for Taiwan. It's usually cheaper and cleaner than SPX, and it's the thing that actually moves.
 - **Prefer defined-risk convex structures** (spreads, not naked shorts/longs) — given negative carry and timing uncertainty, you want bounded bleed and bounded loss.
 - **Trade the resolution:** own optionality *into* cheap vol / calm, and **monetize or roll on the spike** — don't hold to expiry hoping the forecast comes true.
 - **Prefer the relative-value version** where a naive proxy *and* a real instrument both exist — the *divergence* is often the cleanest, best-carry trade.
 - **Size by role:** tail hedges as *insurance* (bps of NAV, expect bleed); structural themes as *allocations* (scale in, don't chase); RV as *risk-budgeted* pairs.
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Trading the quiet — the no-catalyst book

The hard question the framework provokes: if you *trade the resolution, not the forecast*, what do you do when there is no resolution — which is **most of the time**? "No catalyst" is the base rate, not the exception. It is the subject of the book this accompanies: nine years in which Europe kept *not* going to war. You do not sit in cash waiting for one. You run a book that pays in the quiet and carries a cheap overlay for the rare decision.

1. Don't fight the calm. A quiet market is not a mispricing — it is the market correctly declining to price a decision no one has made. So don't manufacture a catalyst or force a forecast where you have no edge. Most of the time the right geopolitical-tail position is *small and cheap*, and the P&L comes from elsewhere. Perma-bear-on-a-war-that's-years-away is how you bleed to death.

2. Run the engines that need no catalyst (the base book). - **Structural / carry** — gold as the central-bank-bid allocation, the de-dollarization plumbing, AI-breadth. Secular flows; they grind regardless. - **Relative value / divergence** — gold vs real rates, Equinor vs NOK, RSP vs SPY, the Urals discount. Persistent mispricings that mean-revert on their own clock, catalyst-free.

This is the "peacetime money market" of the book — the part that compounds through the nine years.

3. In the quiet, be an insurance seller — of scares. "No catalyst" is exactly what makes selling scare-premium pay, because *most scares fizzle*. So in calm periods you flip from buyer to **seller of the phony-war premium**: fade the rich

vol/upside that spikes on a *localized* flare-up the market was always going to ignore. The discrimination ladder is what makes it safe — **sell the localized scares (the great markets ignore them anyway); flip to buyer or flat the moment one crosses toward the general-war rung.** The one trade you cannot get wrong is selling the scare that's actually general — the July-1914 mistake.

4. Accumulate the cheap tail *because there's no catalyst.* The calm is when exposed-instrument convexity is cheapest — nobody wants Brent calls when the strait is open, or SOX tail when Taiwan is quiet. So the quiet is the **accumulation phase** — buy straw hats in winter — sized as insurance you *expect to bleed on*, and financed partly by the scare-selling in (3): sell the rich front, own the cheap back (calendar/ratio structures). Holding cheap convexity *through the boredom* is the whole edge, and the reason it stays cheap is that almost no one else can.

The no-catalyst book in one line: carry + RV + scare-selling pay the bills and compound through the quiet; a small, cheap, always-on tail overlay (bought when cheapest, financed by the scares) costs a little and pays rarely and hugely; and the framework's job in the calm is to prevent the two ruinous errors — **forcing a war bet with no edge, and selling the one scare that's real.**

The expressions

1. China / Taiwan — the un-priceable tail (insurance, not harvest)

- **Thesis:** calm index $\neq$ low risk; the exposure is chips and the yuan, and the full-war tail can't be priced — so buy cheap convexity where it's exposed.
- **Primary:** 6–18m OTM **put spreads on SOX or TSM** (buy ~15–25% OTM, sell a further-OTM put to cheapen). **USDCNH topside call spreads** — CNH is the pressure valve, and FX convexity is often cheaper than equity puts. Long **TWD vol / USDTWD calls**.
- **RV:** long **semis skew vs SPX skew** (semis tail is cheap relative to its systemic importance); or SOX puts financed by SPX puts — own the *exposed* tail against the *index*.
- **Carry/size:** bleeds for years; size as insurance and roll.
- **Kills it:** in a *real* war, exchange/settlement/broker risk means the hedge may not pay — so pair with real-economy **supply-chain diversification** (avoidance, not just options). China policy support can also cap CNH.

2. Dollar-weaponization / de-dollarization — structural gold

- **Thesis:** the signal is central-bank gold demand and the flows (TIC, CIPS), not DXY; gold rising *with* real rates is the tell.
- **Primary:** a **strategic gold allocation** (physical/ETF) as exposure to the price-insensitive central-bank bid; **miners (GDX)** for beta.
- **RV:** long **gold vs long-end real rates** (the divergence is the thesis) — a cleaner risk profile than outright gold.
- **Carry/size:** allocation, not momentum; extended and consensus, so scale in on dips, watch positioning.
- **Kills it:** a real-rate spike, a dollar-funding squeeze, a positioning washout.

3. Norway / NOK — separate the two views

- **Thesis:** NOK is a risk/liquidity proxy first, energy a distant second; don't express energy through the currency.

- **Primary (energy view):** long **Equinor / European nat-gas (TTF) / energy equities** — *not* NOK.
- **NOK view (if any):** treat it as a **risk-off / carry** expression, not energy.
- **RV:** long **Equinor vs short NOK** — own the energy, neutralize the currency's non-energy drift (know both legs: this isolates the petro-earnings from the risk-proxy beta).
- **Kills it:** conflating the two — trading NOK expecting an energy beta.

4. Russia / Ukraine — the exposed instruments, never the ruble

- **Thesis:** the war's economic signal lives in gas, grain, and the Urals discount; the ruble is a managed propaganda price.
- **Primary:** long **TTF (European gas) call spreads** for supply-disruption/escalation; long **wheat calls** (Black Sea).
- **Adjacent:** the **Urals–Brent discount** via **tanker rates (VLCC/Aframax) and shipping equities** — the sanctions-evasion gauge; **European industrials/utilities** as the gas-exposed real economy, hedged with TTF.
- **Avoid:** the **ruble** — capital controls, convertibility and settlement risk; not a signal, not a trade.
- **Carry/size:** TTF and wheat mean-revert hard → defined-risk spreads, monetize spikes.
- **Kills it:** mean reversion, a ceasefire, negative carry.

5. Iran / Hormuz — the tradeable tail (resolution trade)

- **Thesis:** the Hormuz premium is real only while the strait is actually shut; the market is poor at forecasting the closure and fast at pricing it.
- **Primary:** own **Brent call spreads** (~3–6m, 10–25% OTM) as Hormuz insurance **when the strait is open and oil vol is cheap**; monetize/roll when a scare spikes vol.
- **Fade the scare:** after a spike likely to be a *scare* (telegraphed/symbolic response), **sell rich upside/vol — as a spread, never naked** against a real closure.
- **RV / decompose:** compare **Hormuz prediction-market P(closure) to the oil-implied premium (size)** and trade the gap; **VLCC rates** as confirmation.
- **Carry/size:** theta bleed through calm → spreads, roll; the resolution is the payoff.
- **Kills it:** bleed through calm; a real, executed closure if you're short.

6. US fiscal — the long end, not equities

- **Thesis:** debt-sustainability risk shows in the term premium and gold, never in an equity index at highs.
- **Primary:** 5s30s steepeners; **long-end payer swaptions / TLT puts** for the fiscal tail; **gold** as the no-anchor hedge.
- **RV:** 30y **real yields vs gold; nominal 30y vs breakevens** (term premium or inflation?).
- **Carry/size:** negative carry, slow, whipsaw-prone (the long end rallies in risk-off) → convex, patient, small, defined-risk.
- **Kills it:** a risk-off long-end rally; fiscal consolidation; carry. (This trade has gored many — respect it.)

7. AI / concentration — trade the concentration, not the level

- **Thesis:** the index level hides that a handful of names carry the risk.
- **Primary:** **equal-weight vs cap-weight (RSP/SPY)** for breadth; **dispersion** (long single-name vol / short index vol) to monetize concentration.

- **Adjacent: semis** are the exposed instrument for both the AI upside and the Taiwan tail (asymmetric); watch the **private-credit / HY funding** of the datacenter-and-power capex — short it if the funding cracks.
- **Carry/size:** breadth and dispersion bleed in a melt-up → risk-budgeted RV, not outright short.
- **Kills it:** a momentum melt-up; dispersion staying pinned low.

8. Private credit / CRE / regional banks — where the marks don't move

- **Thesis:** stress hides in illiquid private marks; the public price is silent until a forced mark.
- **Primary:** **KRE puts** (regional banks); **CMBX** shorts on the riskier tranches (CRE); **BDC** equity/credit shorts for private-credit mark risk.
- **Carry/size:** negative carry until a catalyst (a forced mark / redemption wave); size for patience; mind basis risk in the proxies.
- **Kills it:** extend-and-pretend continues; rate cuts relieve CRE; no forced mark arrives.

9. Japan / JGBs — the spillover more than the bond

- **Thesis:** BOJ-normalization risk shows in the JGB long end and, more importantly, in what a carry-unwind does globally — not in USDJPY spot.
- **Primary:** short **JGBs / long JGB payer swaptions; long yen vol** (or long yen) to hedge the global carry-unwind spillover.
- **Carry/size:** the widowmaker — negative carry, the BOJ can pin it; small, convex.
- **Kills it:** BOJ yield control persists; carry.

The one-paragraph summary for the desk

Own convexity in the **exposed** instrument, not the index: **Brent** for Iran, **SOX/CNH** for Taiwan, **TTF/wheat** for Russia, the **long end/gold** for US fiscal, **breadth/dispersion** for AI, **KRE/CMBX** for credit, **JGB payers** for Japan — and **gold** as the structural read on the sanctions-weapon decay. Express energy as **gas and equities**, never the **krone** or the **ruble**. Trade the **resolution**, not the forecast; prefer **defined-risk spreads** and **relative-value divergences**; treat the **un-priceable** tails as insurance you expect to bleed on. The framework's edge is knowing *which instrument* — the timing and the sizing are still yours, and the honest part is that most of these are right on instrument and hard on when.

Companion to *instrument-problem-desk-note.md* and *pricing-geopolitical-risk-READER.md*.
 Framework and risk disciplines only; not investment advice; illustrative structures; 2026 levels move.